

Key Indicators:

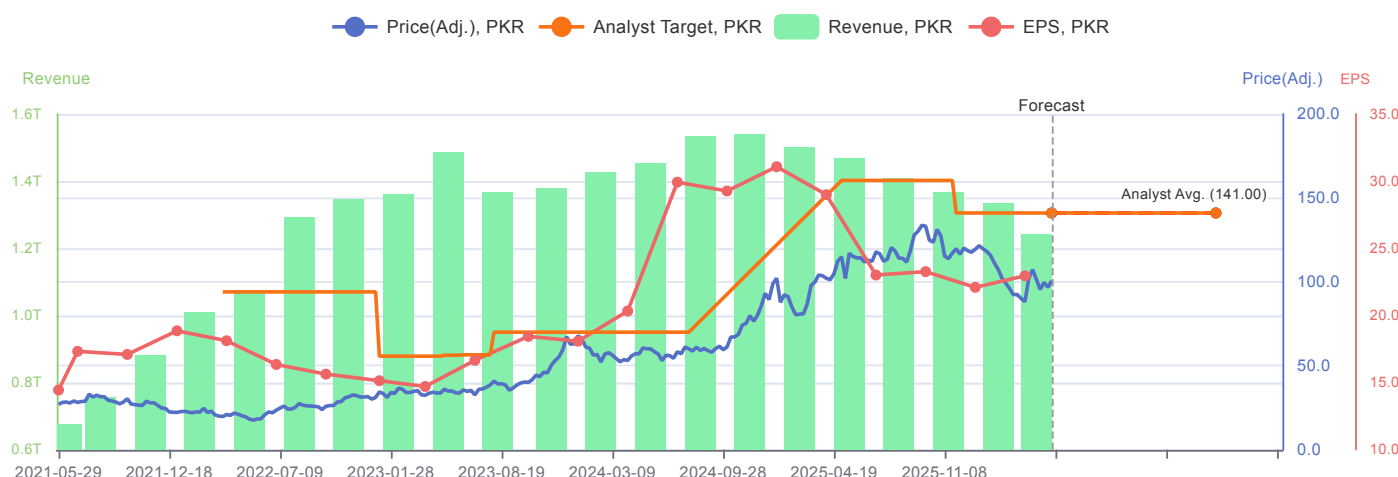
🕒 Date: May 28, 2026

Stock Price

PKR102.0

52-Week Range	PKR83.2 - PKR139.1	EPS Revisions (90d)	↑ - ↓ -	Revenue	PKR1.2T
Market Cap	PKR64.7B	PEG Ratio	-0.21	Revenue Forecast	PKR1.4T
P/E Ratio	4.45	FCF Yield	6.69	1-Year Change	-9.97%
P/E (Fwd.)	6.70	EV / EBITDA	4.64	Div Yield	2.94%
EPS Actual	-	Book / Share	124.3	Div. Growth Streak	2 years
EPS Estimate	15.2	Beta (5Y)	0.35	Next Earnings	2026-10-30

5-Year Chart



Executive Summary

Warren AI

Sui Northern Gas Pipelines Ltd (SNGPL) operates as **Pakistan's largest integrated gas company**, responsible for the purchase, transmission, distribution, and supply of natural gas to over **7.3 million consumers** across North Central Pakistan, including Punjab, Khyber Pakhtunkhwa, and Azad Jammu & Kashmir, while also functioning as an EPC contractor for pipeline projects.

The company holds a **strategically vital position** in Pakistan's energy landscape, supported by over 50 years of operational expertise and an extensive established network. SNGPL is trading at **attractive valuations** with a **P/E ratio of 4.45** (forward P/E of 6.7) and a **fair value of 115.75 PKR** versus current price of 102.04 PKR, suggesting **13% upside potential**. Technical indicators show a **Strong Buy** signal. The company has demonstrated **impressive operational improvements**, reducing UFG losses to **4.93% in FY24**—an 18-year low—through enhanced monitoring and digitalization initiatives. Growth prospects include **PKR 30 billion annual capex** for network expansion, diversification into EPC services, and ambitious plans to install **300,000 RLNG connections in FY25 and 600,000 annually thereafter**, capitalizing on RLNG's cost advantage over LPG.

However, **significant challenges** persist. The company operates with **razor-thin profit margins of 1.04%** and carries a **highly leveraged balance sheet** with a debt-to-equity ratio of 2.93 and net debt-to-equity of 221.3%. **Negative free cash flow of -PKR 2.9 billion in FY25** raises sustainability concerns. The persistent **circular debt issue**, declining indigenous gas reserves necessitating expensive LNG imports, and exposure to volatile international energy prices and currency depreciation create financial fragility. Regulatory headwinds include a **reduced rate of return from 26.22% to 21.25%** determined by OGRA. The company faces macroeconomic pressures from Pakistan's challenging economic environment, geopolitical risks affecting energy security, and long-term demand threats from renewable energy adoption. Despite these headwinds, SNGPL's **state-owned enterprise status** provides implicit government backing, and analyst targets of **141 PKR represent 38% upside**, though based on limited coverage.

Fair Value

Upside	13.4%
Fair Value	PKR115.8

Financial Health

4.5/10
Growth Rating
5.4/10
Profitability Rating
2.7/10
Cash Flow Rating

Financial health is determined by ranking the company on over 100 indicators compared to other companies in its sector that operate in similar economic markets.

Valuation

Reporting Date	2023	2024	2025	2026	2027
Period Ending	30/06	30/06	30/06	30/06	30/06
Capitalization	PKR25.0B	PKR40.3B	PKR74.0B	PKR64.7B	PKR64.7B
P/E Ratio	2.68	3.12	4.02	6.70	6.70
Div. Yield	12.3	7.35	6.59	2.94	-
Capitalization / Revenue	0.02	0.03	0.05	0.05	0.05
EV / Revenue	0.07	0.10	0.17	0.19	0.19
EV / EBITDA	0.91	-54.6	3.32	4.25	4.25
EV / FCF	5.33	-1.69	143.5	-	-
FCF Yield	-121.1	-132.2	-32.9	-	-
Price / Book	0.58	0.73	1.04	0.82	-

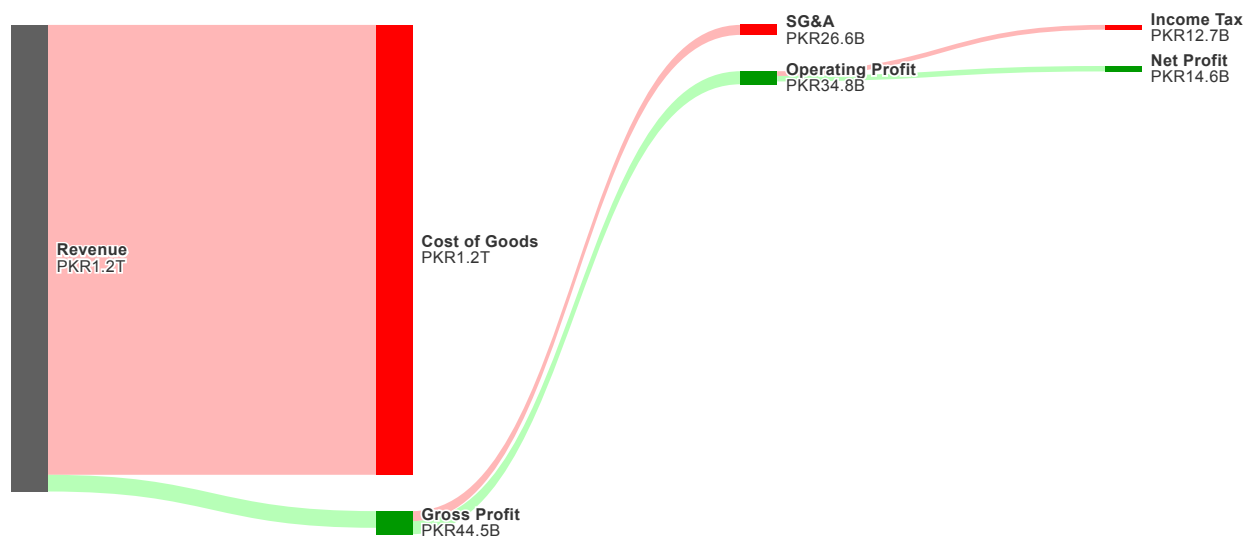
- Forecast

Pro Tips

Tips that distill complex financial data into concise, actionable investment insights.

- 👍 High shareholder yield
 - 👍 Trading at a low earnings multiple
 - 👍 Prominent player in the Gas Utilities industry
 - 👍 Trading at a low revenue valuation multiple
 - 👍 Profitable over the last twelve months
 - 👍 High return over the last decade
 - 👍 Strong return over the last five years
- ☹️ Suffers from weak gross profit margins

Y LTM Financials:



* Income Statement is based on LTM data from 2025-03-31 to 2026-03-31

Income Statement

Date	2022	2023	2024	2025	LTM
Revenue	1,293,677	1,365,758	1,532,911	1,408,551	1,241,877
Operating Income	75,202	19,360	24,801	65,912	34,760
Net Income to Stockholders	10,366	10,563	18,976	14,591	14,550
Shares Outstanding	634.2	634.2	634.2	634.2	634.2
Diluted EPS	16.3	16.7	29.9	23.0	22.9
EBITDA	90,604	35,114	42,161	85,356	56,166

Balance Sheet

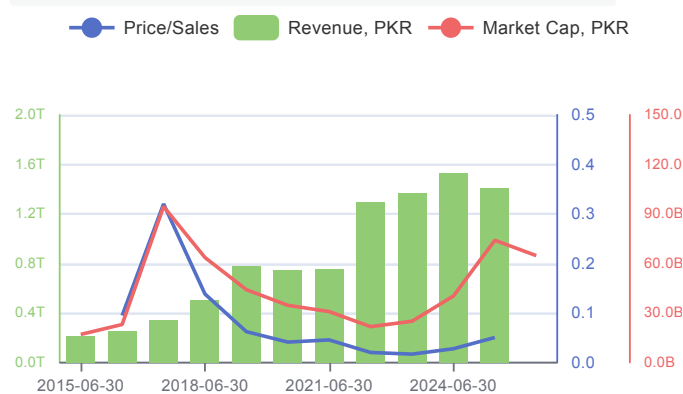
Date	2022	2023	2024	2025	LTM
Total Current Assets	1,006,499	1,182,523	1,323,681	1,310,821	1,353,324
Total Assets	1,268,107	1,467,191	1,642,407	1,681,646	1,734,720
Total Current Liabilities	1,028,762	1,220,931	1,373,000	1,397,546	1,425,403
Total Liabilities	1,228,459	1,421,605	1,578,215	1,610,999	1,655,880
Total Equity	39,648	45,585	64,192	70,646	78,840
Total Debt	84,592	175,656	198,153	206,670	209,795

Cash Flow Statement

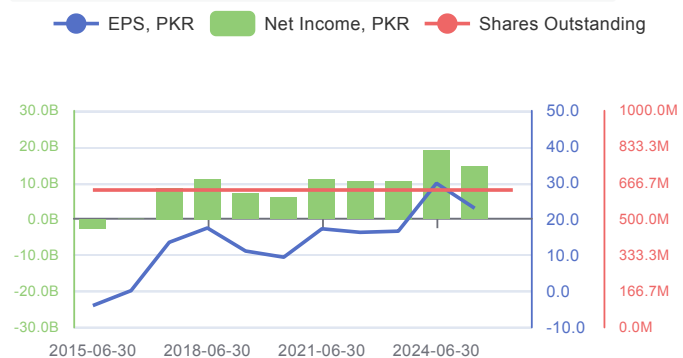
Date	2022	2023	2024	2025	LTM
Cash from Operations	50,461	-46,652	29,307	54,048	53,633
Cash from Investing	-25,294	-34,845	-49,227	-56,503	-48,941
Cash from Financing	-9,122	-17,221	9,401	-28,569	-14,237
Levered Free Cash Flow	0.0	-0.1	-0.0	-0.0	0.0

*In PKR millions, except number of shares, which are reflected in thousands, and per share amounts.

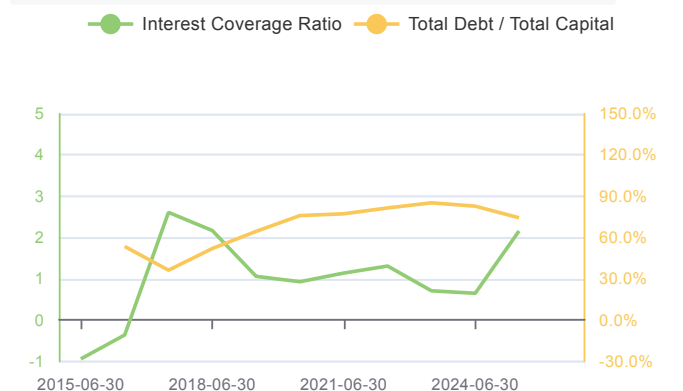
Revenue, Market Cap, Price/sales



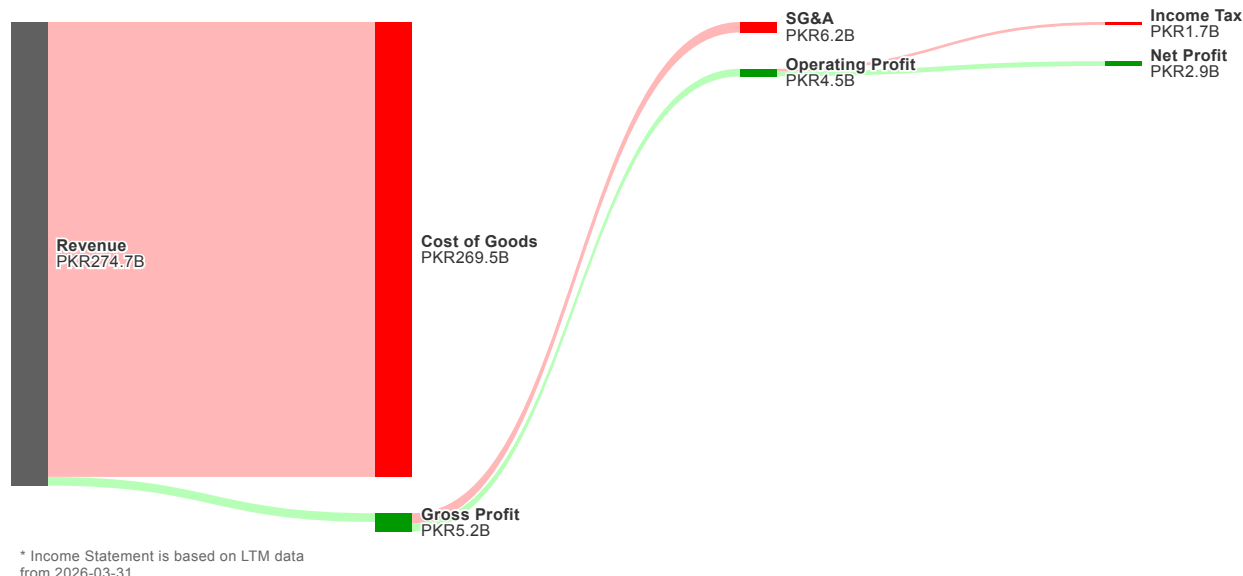
Net Income, EPS, Shares



Leverage and Debt



Q3 Financials



Income Statement

Date	Q3 2025	Q4 2025	Q1 2026	Q2 2026	Q3 2026
Revenue	366,826	343,677	318,599	304,909	274,691
Operating Income	37,386	11,023	7,471	11,674	4,529
Net Income to Stockholders	2,388	4,454	3,446	3,721	2,928
Shares Outstanding	634.2	634.2	634.2	634.2	634.2
Diluted EPS	3.77	7.03	5.43	5.87	4.62
EBITDA	42,082	16,586	12,642	17,030	9,845

Balance Sheet

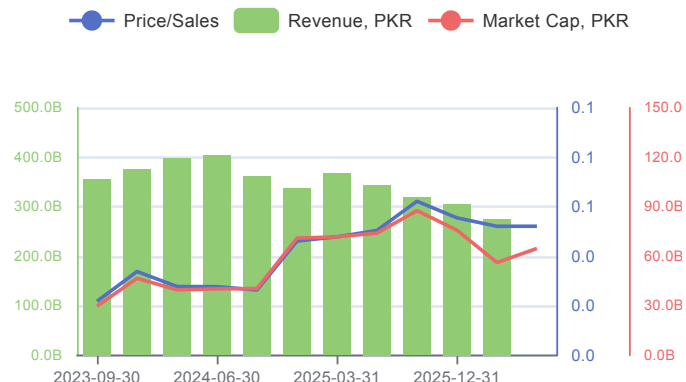
Date	Q3 2025	Q4 2025	Q1 2026	Q2 2026	Q3 2026
Total Current Assets	1,333,401	1,310,821	1,314,990	1,336,103	1,353,324
Total Assets	1,689,506	1,681,646	1,692,422	1,726,852	1,734,720
Total Current Liabilities	1,411,440	1,397,546	1,403,386	1,425,503	1,425,403
Total Liabilities	1,618,029	1,610,999	1,618,330	1,650,940	1,655,880
Total Equity	71,476	70,646	74,092	75,911	78,840
Total Debt	214,984	206,670	209,077	220,312	209,795

Cash Flow Statement

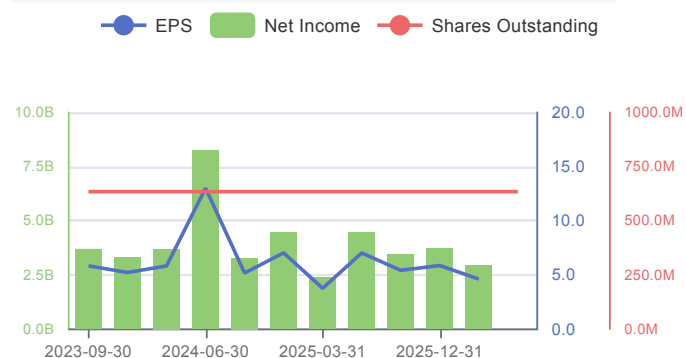
Date	Q3 2025	Q4 2025	Q1 2026	Q2 2026	Q3 2026
Cash from Operations	-781.3	29,507	5,077	292.1	18,756
Cash from Investing	-14,824	-21,314	-5,693	-11,643	-10,290
Cash from Financing	-16,645	-16,074	-3,396	35,606	-30,373
Levered Free Cash Flow	-0.0	0.0	-0.0	-0.0	8,342

*In PKR millions, except number of shares, which are reflected in thousands, and per share amounts.

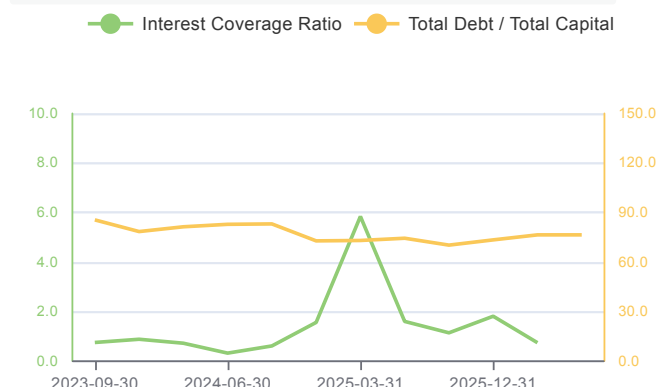
Revenue, Market Cap, Price/sales



Net Income, EPS, Shares



Leverage and Debt



Momentum & Technical Indicators

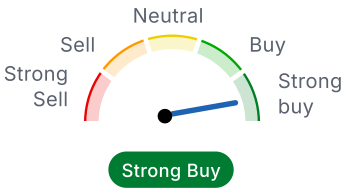
Price Momentum

Metric	SNGP	Percentile	Score
Price % of 52 Week High	73.4%	27.7%	1.4
1 Week Price Total Return	0.7%	48.2%	2.4
2 Week Price Total Return	6.2%	88.5%	4.4
3 Week Price Total Return	0.6%	66.4%	3.3
1 Month Price Total Return	3.0%	67.7%	3.4
3 Month Price Total Return	3.0%	55.9%	2.8
6 Month Price Total Return	-14.8%	12.2%	0.6
1 Year Price Total Return	-10.0%	17.3%	0.9
2 Year Price Total Return	75.9%	85.0%	4.3
3 Year Price Total Return	201.3%	90.2%	4.5
4 Year Price Total Return	458.1%	95.3%	4.8
5 Year Price Total Return	278.1%	87.5%	4.4

Peers

	2886	SSGC
Price % of 52 Week High	95.0%	10.5%
1 Week Price Total Return	-0.9%	21.2%
2 Week Price Total Return	0.9%	20.2%
3 Week Price Total Return	2.7%	23.9%
1 Month Price Total Return	3.6%	53.5%
3 Month Price Total Return	1.8%	-18.4%
6 Month Price Total Return	6.5%	-18.4%
1 Year Price Total Return	12.3%	-44.3%
2 Year Price Total Return	9.2%	52.1%
3 Year Price Total Return	-17.2%	93.3%
4 Year Price Total Return	-4.5%	174.3%
5 Year Price Total Return	-1.6%	-59.2%

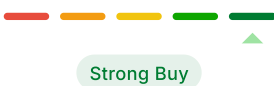
Technical Summary



Moving Averages



Technical Indicators



The Moving Average Score is based on various moving averages, both simple and exponential, with ranges from 5 to 200.
The Technical Score is calculated based on key technical indicators, including RSI, Stochastic, MACD, Williams %R, CCI, ATR, Highs/Lows, Ultimate Oscillator, ROC, and Bull/Bear Power, among others.

Peer Benchmarks:

Market and Yield Metrics

Metric	SNGP	2886	SSGC
Market Cap	PKR64.7B	\$1.5B	\$30.4M
Price % of 52 Week High	71.6%	85.0%	10.1%
Div Yield	2.94%	7.74%	0%
Beta	0.35	0.32	0.55
1 Year Return	-9.97%	15.0%	-47.0%

Growth Metrics

Metric	SNGP	2886	SSGC
Revenue Growth	-15.4%	-3.42%	
Revenue CAGR (5y)	13.6%	-	
Net Income Growth	-20.9%	11.6%	-139.3%
Net Income CAGR (5y)	19.5%	-	
Revenue Forecast CAGR (5y)	0%	-	
Net Income Forecast CAGR (5y)	-7.91%	-	

Financial Statement Metrics

Metric	SNGP	2886	SSGC
Revenue	PKR1.2T	¥5.6B	-
Gross Profit	PKR44.5B	¥519.5M	-
Operating Income	PKR34.8B	¥282.4M	-\$5.7M
Gross Profit Margin	3.58	9.27	-
Net Income to Common	PKR14.6B	¥206.1M	-\$5.4M
ROE	19.4	-	-92.4
ROI	7.86	-	-79.0
ROA	0.85	-	-84.0
Total Assets	PKR1.7T	¥7.4B	\$5.6M
Total Debt	PKR209.8B	¥2.9B	\$0

Valuation Metrics

Metric	SNGP	2886	SSGC
P/E Ratio (LTM)	4.45	-	-5.77
PEG Ratio	-0.21	-	0.43
Price / Book	0.82	-	5.88
Price / LTM Sales	0.05	-	-
Analyst Upside	38.2%	-	
Fair Value Upside	13.4%		-4,375.0%

Latest Insights

WarrenAI

🦁 Bull Case

- Trading at highly attractive valuations with P/E of 4.45 and forward P/E of 6.7, significantly below market averages, with fair value at 115.75 PKR suggesting 13% upside and analyst target of 141 PKR representing 38% potential gain.
- Operational efficiency improvements demonstrated through UFG reduction to 4.93% in FY24 (18-year low) with further optimization expected through digitalization, AI tools, and GIS mapping initiatives.
- Strong growth trajectory through PKR 30 billion annual capex for infrastructure expansion, targeting 300,000 RLNG connections in FY25 and 600,000 annually thereafter, capitalizing on RLNG's cost advantage over LPG.
- Strategically critical position as Pakistan's largest integrated gas company with over 7.3 million consumers, extensive network infrastructure creating significant competitive moat, and 50+ years of operational expertise.
- Diversification into high-margin EPC contracting services with successful project completions for SSGC and Parco Gunvor, plus board-approved wholly-owned subsidiary formation for further business expansion.
- State-owned enterprise status providing implicit government support, strategic importance to national energy security, and stability. Favorable Lahore High Court ruling on CEA tax dispute removes historical overhang.

🐻 Bear Case

- Severely constrained financial position with razor-thin 1.04% profit margins, extremely high debt-to-equity ratio of 2.93, and net debt-to-equity of 221.3%, indicating significant financial fragility and limited operational flexibility.
- Generated negative free cash flow of -PKR 2.9 billion in FY25, raising serious concerns about earnings quality and sustainability of dividend payments which are not consistently funded by surplus cash generation.
- Persistent circular debt crisis due to pending government settlements for tariff adjustments and lower off-take from captive power plants, severely impacting liquidity and tying up critical working capital.
- Adverse regulatory environment with reduced rate of return from 26.22% to 21.25% by OGRA negatively impacting profitability, coupled with delays in tariff revisions and disallowance of certain UFG costs further compressing margins.
- Declining indigenous gas reserves forcing increased reliance on imported LNG, exposing company to volatile international energy prices and currency depreciation risks, while Pakistan's macroeconomic instability and geopolitical vulnerabilities threaten energy security.
- Long-term demand erosion from government prioritization of renewable energy sources, rapid solar adoption in industrial sector, and structural shift away from fossil fuels potentially reducing natural gas consumption.

Additional Insights

- Company demonstrates strong technical momentum with Strong Buy rating from both moving averages and technical indicators, trading near middle of 52-week range (83.2-139.06 PKR) with low beta of 0.35 indicating lower volatility.
- Financial health ratings reveal mixed picture: Growth rating 4/10, Profitability rating 5/10, and Cash flow rating 3/10, reflecting operational challenges despite market position strength.
- Capitalization has shown significant growth trajectory from 24.97 billion PKR in FY23 to 74.02 billion PKR in FY25, though current valuation at 64.72 billion PKR suggests market skepticism about sustainability.
- Revenue forecast of 1.41 trillion PKR represents growth from current 1.24 trillion PKR, though negative 1-year change of -0.1 indicates recent headwinds in top-line performance.
- Dividend yield declining from 12% in FY23 to 7% in FY24-25 and projected 3% currently, reflecting payout pressure from cash flow constraints despite 2-year growth streak.
- Limited analyst coverage with only 1 analyst providing forecasts maintains consistent EPS estimate of 15.24 PKR for FY26-28 with -1% YoY growth in FY27, suggesting stagnant earnings outlook.
- Multiple expansion evident with P/E rising from 2.68 in FY23 to projected 6.7 in FY26-27, indicating market recognition of improving fundamentals despite challenging operating environment.

SWOT Analysis

WarrenAI

Strengths

- Largest integrated gas company in Pakistan with extensive transmission and distribution network serving 7.3+ million consumers across strategically important North Central regions, creating substantial competitive moat.
- Over 50 years of operational expertise in high-pressure gas infrastructure management with proven track record and established industry relationships.
- Impressive UFG reduction to 4.93% in FY24 (18-year low) demonstrating superior operational control and efficiency improvements through micro-level monitoring and digitalization.
- Successful diversification into EPC contracting services generating additional revenue streams and leveraging core technical competencies beyond traditional utility operations.
- State-owned enterprise status providing strategic importance, implicit government backing, and stability crucial in challenging economic environment with access to policy support.

Weaknesses

- Extremely fragile financial position with debt-to-equity ratio of 2.93, net debt-to-equity of 221.3%, and razor-thin profit margins of 1.04% leaving minimal buffer for adverse developments.
- Negative free cash flow of -PKR 2.9 billion in FY25 raising serious concerns about earnings quality, operational sustainability, and ability to fund dividends from internal cash generation.
- Significant circular debt exposure from unrecovered costs and pending government settlements severely constraining liquidity and working capital management capabilities.
- High vulnerability to regulatory decisions with profitability directly impacted by OGRA's rate of return determinations, which recently declined from 26.22% to 21.25%, and tariff adjustment delays.
- Weak gross profit margins and low financial health ratings (Cash flow 3/10, Profitability 5/10) reflecting structural profitability challenges in regulated utility business model.

Opportunities

- Massive expansion potential through RLNG connections with targets of 300,000 in FY25 and 600,000 annually thereafter, driven by RLNG's significant cost advantage over LPG.
- Annual capex program of PKR 30 billion for network augmentation, pipeline upgrades (Kot Palak at 45 mmcf/d capacity), and integration of new gas capacity from fields like Bannu West-1.
- Further business diversification through board-approved wholly-owned subsidiary formation expanding beyond traditional utility operations into complementary energy services.
- Enhanced operational efficiency through digitalization initiatives, AI adoption, advanced leakage detection technologies, and GIS network mapping potentially reducing UFG to international benchmarks.
- Potential policy support for circular debt resolution with KPMG consultant engagement and government focus on energy sector reform potentially unlocking significant liquidity improvements and profitability enhancement.

Threats

- Continuous depletion of indigenous gas reserves forcing higher dependence on imported LNG exposing company to volatile international prices, supply disruptions, and currency depreciation risks.
- Severe geopolitical vulnerabilities from Middle East conflicts, shipping route disruptions through Strait of Hormuz, and domestic security risks from militant attacks on pipeline infrastructure particularly in Balochistan.
- Pakistan's persistent macroeconomic instability including high inflation, currency devaluation, balance of payment crisis driven by fossil fuel imports, and subdued manufacturing activity reducing gas demand.
- Structural long-term demand erosion from government prioritization of renewable energy diversification, rapid distributed solar adoption in industrial sector, and increasing hydropower capacity reducing natural gas consumption particularly in power generation.
- Regulatory uncertainty from ongoing evolution of asset-based models, UFG benchmark revisions, and potential adverse policy changes creating unpredictable earnings environment for future operations.

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